'externalities'), such mandates are reasonable from a societal perspective. For instance, the higher familial and community status a farm worker gets from starting her own poultry farm and contributing to the family income may, on net, outweigh the costs the bank incurs on making the loan. The bank cannot monetize the status benefits, but a government can decide those benefits are worth generating and mandate them.

In a similar vein, there may be network benefits from universal access – for instance, direct transfer of benefits is easier when the vast majority of beneficiaries have a bank account, and the accounts themselves will be used heavily when account-to-account transfers are made easier through mobile phones via the soon-to-be-introduced Unified Payment Interface (UPI). Mandated account-opening essentially creates the universal network with its associated positive network externalities.

There are, however, a number of risks emanating from mandates. The first is that there is no market test of usefulness, and indeed, these may not be possible – how does one measure the value of the enhanced social status of the poultry farmer? So mandates are driven by the beliefs of the political leadership, and may persist a long time even if they are not effective. Furthermore, some vested interests may benefit from specific mandates and push for their perpetuation long after they have ceased being useful. Bankers themselves, seeing little profit in obeying the mandate, will try and 'achieve' it at least cost by targeting the most accessible and least risky in the eligible category, and even mislabelling normal activity so that it fits in the eligible list. Finally, some mandates fall primarily on the public sector banks. As competition reduces their profitability, their capacity to carry out mandates and still earn enough to survive diminishes.